

# THE POWER OF DIGITAL

Tata Capital's big bet on being digital-first has paid rich dividends. Here's how the NBFC did it

BY TEENA JAIN KAUSHAL

**I**N TODAY'S DYNAMIC landscape, digital transformation is not optional. Rajiv Sabharwal, MD & CEO of Tata Capital, understands this. Under his leadership, Tata Capital has led the way in digital innovation.

From leveraging platforms like WhatsApp, Alexa, and Google Assistant to introducing multilingual support and artificial intelligence (AI)-powered chatbots, Tata Capital has set new standards, earning recognition as the Best NBFC in the Innovation category in the BT-KPMG Best Banks and NBFCs Survey 2022-23.

Its commitment to digitalisation is evident in a whopping 85% retail digital adoption rate. Leading the way is its AI-powered chatbot, TIA. TIA boasts of a 98% first-time response rate, a significant improvement thanks to Generative AI (Gen AI). The firm has also digitised 91% of service requests, accessible via its mobile app and website.

According to Sabharwal, the turning point for Tata Capital was its decision to integrate Gen AI into its flagship chatbot. "With the implementation of Gen AI, the chatbot's ability to answer queries has gone up to 98%," he explains.

Sabharwal says that over the past two years, the company has seen a substantial growth in its analytics team, from 10 to 40 members, while the tech team has expanded from 20 to 120. Additionally, the company has established partner-



**DIGITAL FIRST** Rajiv Sabharwal, MD & CEO, Tata Capital

## THE DIGITAL HIGHWAY

- ▶ **Tata Capital's retail digital adoption rate stands at 85%, with over 91% of this adoption being served instantly**
- ▶ **Tata Capital's mobile app has seen more than 5.8 million downloads**
- ▶ **Its AI-powered chatbot, TIA, has a first-time response rate of 98%**
- ▶ **To enable seamless customer experience, it has integrated WhatsApp, Alexa, and Google Assistant into its platform**
- ▶ **Tata Capital has invested heavily in expanding its analytics and tech teams**

ships with over 150 fintech firms.

Going digital has afforded the company yet another advantage: it facilitated the expansion of its physical branches using the savings derived from these digital initiatives. "We have quadrupled our branch network to 700 locations, all achieved without any increase in our cost-to-income ratio," explains Sabharwal.

The company's decision to bet big on digitalisation is because of its core belief that success is directly proportional to innovation. And what makes Tata Capital unique is its focus on implementation and adoption, making the company stay abreast of industry trends. **BT**

@Teena\_Kaushal